

iQIYI Inc. (IQ): World Conference 2026 takeaways: Clear strategy transition towards AI

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We attended the IQ World Conference 2026 on Apr 20, where iQIYI laid out a strategy centered on AI-driven cost reduction, faster production, and **a transition toward** more creator-enabled content ecosystem, while reaffirming that long-form drama and IP ownership remain its core moat.

Management expects **AI to materially reshape the drama business** over the next 1-3 years, improve production efficiency, and support both domestic innovation and overseas localization. Fully AI native long form dramas are set to launch in 3Q26. At the same time, **policy tailwinds** are accelerating content review and enabling new formats such as mid-form dramas. **Internationally**, iQIYI sees overseas expansion as a major second growth engine, especially among young female audiences seeking Asian content.

Overall, we see iQIYI aims to combine AI tools, strong IP strategy, membership monetization, and global distribution to strengthen its competitive position, while the transition would take more time to show impact on IQ's core business turnaround.

Key highlights:

1. AI-Driven Production Revolution

- **Efficiency and Cost:** The introduction of Seedance 2.0 and other AI technologies is expected to significantly impact the drama business by 2027–2028. Production cycles are projected to shorten by 50% (from 6–7 months down to 3-4 months), while investment costs could be reduced to less than 20% of current levels for AI native videos/drama.
- **AIGC Studios:** iQIYI has established over 10 pure AIGC studios. The company aims to produce 2–3 AI-generated S/A+ level hits within the next year as a key performance indicator.
- **Technical Application:** AI is now being utilized for high-definition up-scaling (2K/4K), multi-language dubbing, and translation. Moreover, overtime IQ has seen a number of real world artists showing interests/granted the usage of their character for future AI uses.
- **NaDou Pro** is an AI agent introduced by the company, aiming at enabling creators on the full production process across script writing, filming and editing. It's built on industry leading multi-modal models and customized with IQ's digital

asset database.

2. Organizational and Ecosystem Transformation

- **Creator-Centric Model:** The organization is shifting from a producer-centric model to a director-centric one, where the value of screenwriters and directors is heightened. The workforce is becoming younger, with engineers making up over 40% of the R&D team.
- **Decentralized Ecosystem:** As AI lowers the barrier to creation, iQIYI is moving toward a decentralized model. The platform will act as an enabler—providing tools, computing power, and distribution—rather than just a centralized purchaser of content.
- **IP Moat:** iQIYI reiterated that long-form content remains its core competitive advantage because it is the primary vehicle for generating sustainable IP, derivatives, and long-term monetization, unlike short-form video platforms.

3. Regulatory Policy tailwinds and Content Innovation

- **Streamlined Review:** Under new SARFT (广电) policies, the standard review period has been reduced from 50 days to 30 days. For specialized content like public security dramas, the average review time has dropped by 20%.
- **New Formats:** IQ platform is focusing on “Middle Dramas” (approx. 15–20 minutes per episode) and shortened format long dramas/films. These formats benefit from simplified provincial-level approvals and faster production-to-broadcast cycles.

4. Global Expansion Strategy on the rise

- **Market Performance:** Chinese content is seeing significant growth overseas, with search volumes and viewership in Southeast Asia now exceeding that of Korean dramas in some markets.
- **Target Audience:** IQ’s overseas strategy focuses on young female users, prioritizing Asian idol dramas, Japanese anime, and localized content (e.g., Thai dramas) to differentiate from platforms like Netflix.
- **AI as an Export:** iQIYI envisions China becoming an AI-powered production base for international content, such as using Chinese AI capabilities to produce Thai dramas.

5. Financial and Strategic Outlook

- **Business Model:** Majority of IQ’s revenue is derived from memberships. The platform also uses a hybrid model: membership for high quality content and advertising for long-tail content, different from other short drama peers.
- **Capital Strategy:** The company is not developing its own large-scale base models, opting instead for open-source solutions and public cloud deployments to manage costs. Additionally, iQIYI is actively progressing with its Hong Kong listing.

Price Target Risks and Methodology - iQIYI Inc.

Valuation methodology: We are Neutral rated on iQIYI with a 12-month P/E-based target price of **US\$1.8** based on a 13x avg. 2026–27E P/E multiple.

Key upside/downside risks: 1) Softened/Intensified competition/execution risk; 2) Better/Weaker ROI on content cost; 3) Regulatory risks; and 4) Better ability/Inability to retain and attract new advertisers.

IQ	12m Price Target: \$1.80	Price: \$1.41	Upside: 27.7%
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Neutral		GS Forecast			
		12/25	12/26E	12/27E	12/28E
Market cap: \$1.4bn Enterprise value: \$2.4bn 3m ADTV: \$16.2mn China China Games, Entertainment & Healthcare Tech M&A Rank: 3 Leases incl. in net debt & EV?: No	Revenue (Rmb mn)	27,291.3	27,807.5	29,022.6	30,274.7
	EBITDA (Rmb mn)	12,255.4	11,615.3	11,924.2	12,681.2
	EPS (Rmb)	0.29	0.69	1.32	2.32
	P/E (X)	52.1	13.9	7.3	4.1
	P/B (X)	1.1	0.7	0.6	0.5
	Dividend yield (%)	0.0	0.0	0.0	0.0
	N debt/EBITDA (ex lease,X)	7.7	4.9	2.6	1.2
	CROCI (%)	NM	NM	NM	NM
	FCF yield (%)	9.8	10.2	14.3	24.4
		12/25	3/26E	6/26E	9/26E
EPS (Rmb)		0.11	(0.10)	0.19	0.23

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 17 Apr 2026 close.

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